it may also be noted, when a Company has only one Managing Director or Whole-time Director or manager the remuneration payable shall not exceed 5% of net profits if it is more than one 11% as calculated in a manner laid down in section 198 of the Companies Act, 2013.

Remuneration Payable by a company in case where is no profit or inadequacy of profit without Central Government and to pay remuneration in excess of the above limit is detailed below:

Where Effective Capital is	Limit of yearly Remuneration payable shall not exceed (Rupees)
(i) Negative or less than ₹5 Crore	₹30 lakh
(ii) ₹5 Crore and above but less than ₹100 Crore	₹42 lakh
(iii) ₹100 Crores and above but less than ₹250 Crore	₹60 lakh
(iv) ₹250 Crore and above	₹60 lakh plus 9.91% of the effective capital in excess of ₹250 Crore.

27.12 Powers of Director

Directors should have a vision to frame policies to achieve high level of performance. To achieve high level of performance, they must set the goals of the company. They must have powers to carry on objectives of the company. The power of the Directors grouped into four different heads viz.,

(i) Statutory Powers of Directors

(ii) Managerial Powers of Directors

(iii) Powers only with a resolution

(iv) Other Powers

Statutory Powers of Directors

In the General Body Meeting of the Company the following powers must be exercised by the Board of Directors by passing a resolution.

(i) Power to make calls on shareholders in respect of money unpaid on their shares

(ii) Power to issue debentures

(iii) Power to borrow moneys otherwise than on debentures

(iv) Power to invest the funds of the company

(v) Power to make loans

(vi) Power to diversify the company business

(vii) Power to approve amalgamation, Merger or reconstruction

(viii) Power to approve Financial Statement and Board reports.

Managerial Powers of Directors

(i) Power to contract with the third party.

(ii) Power to allot, forfeit or transfer shares of company

(iii) Power to decide the terms and conditions to issue debentures.

(iv) Power to frame new policies and to issue instructions for the efficient running of the business.

(v) power to appoint Managing Director, Manager, Secretary of the company.

(vi) power of Control and supervision of work of subordinates.

Powers only with a resolution

(i) To sell or lease any asset of the company

(ii) To allow time to the director for repayment of the loan

(iii) To borrow money in excess of paid up Capital and free reserves

(iv) To appoint a sole agent for more than 5 years.

12th Commerce Unit 10.indd 253 09-12-2021 12.00.27 PM